RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 2001 and 2000

J GITTLESON CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

TABLE OF CONTENTS

Audit report..... 1

Financial statements:
Comparative balance sheets..... 2
Comparative statements of operations.....3
Comparative statements of cash flows.....4
Statement of changes in stockholders'equity.....5

Notes to financial statements.....6&7

J. GITTLESON, CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

Members of
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154 Franklin Place, Woodmere, New York 11598
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New York State Society of
Certified Public Accountants

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 2001 and 2000 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 2001 and 2000. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2001 and 2000 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

As stated in Note 6, management had incorrectly stated interest income in a prior year. As such a prior period adjustment has been recorded on the prior year (December 31, 2000) financial statements.

Woodmere, New York
January 30, 2002

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 2001 and 2000

	2001	2000
ASSETS		
Cash:		
operating	$79,582	$29,408
restricted cash	7,436	3,060
money market	584,992	623,826
Accounts receivable	22,369	19,635
Prepaid insurance	-	3,607
Escrow accounts	-	17
Mortgage acquisition costs, net	54,305	60,239
Prepaid real estate taxes	24,088	26,707
Total current assets	772,772	766,499
Land	200,000	200,000
Building and building improvements	11,779,512	11,740,779
	11,979,512	11,940,779
Less accumulated depreciation	4,996,991	4,706,941
Net fixed assets	6,982,521	7,233,838
Total assets	$7,755,293	$8,000,337

LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$210,693	$81,146
Deposits	7,436	3,060
Mortgage payable (Note 3)	3,933,102	4,008,668
Commitments and contingencies	-	-
Total liabilities	4,151,231	4,092,874
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,902,464	6,902,464
Retained earnings (deficit)	(3,383,429)	(3,080,028)
Total stockholders' equity	3,604,062	3,907,463
Total liabilities and stockholders' equity	$7,755,293	$8,000,337

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 2001 and 2000

	2001	2000
Operating income:		
Maintenance charges	$1,075,712	$1,069,444
Less: STAR Abatement	(69,853)	(44,189)
Common charges, net	1,005,859	1,025,255
Parking income	80,649	76,065
Laundry income	17,838	17,283
	1,104,346	1,118,603
Operating expenses:		
Real estate taxes	276,498	266,507
Less: STAR Abatement	(69,853)	(44,189)
Real estate taxes, net	206,645	222,318
Mortgage interest	290,886	296,226
Heating fuel	73,822	97,679
Utilities (gas, electric, and telephone)	56,474	50,524
Contractual services		
Security	38,131	41,865
Boiler maintenance	16,036	27,365
Landscaping	8,738	7,819
Other	10,499	13,008
Supplies	21,022	6,359
Operating repairs and maintenance	174,420	63,021
Pool supplies	1,502	10,687
Payroll and benefits	157,841	142,862
Management fees	31,232	31,000
General administrative costs	1,855	4,093
Professional fees	12,597	13,782
Insurance	36,238	31,445
Miscellaneous	9,039	5,718
Water and sewer	7,286	6,903
Total operating expenses	1,154,263	1,072,674
Income from operations	(49,917)	45,929
Other income:		
Exit fees	17,042	30,057
Interest	25,123	36,306
Miscellaneous - late charges and other	7,569	6,502
Total other income	49,734	72,865
Income before depreciation and income taxes	(183)	118,794
Depreciation and amortization	295,984	291,272
Provision for income taxes	7,234	7,227
Net income (loss)	($303,401)	($179,705)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 2001 and 2000

	2001	2000
Cash flows from operating activities:		
Net income (loss)	($303,401)	($179,705)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	290,050	284,679
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(2,734)	(15,397)
Change in prepaid expenses	3,607	(1,751)
Change in escrow accounts	17	-
Change in prepaid real estate taxes	2,619	54,237
Chagne in mortgage acquisition costs, net	5,934	6,593
Change in accounts payable and accrued expenses	133,923	43,747
Total adjustments	433,416	372,108
Net cash provided by (used for) operating activities	130,015	192,403
Cash flows from investing activities:		
Payment for capital improvements	(38,733)	(102,732)
Net cash provided by (used for) investing activities	(38,733)	(102,732)
Cash flow from financing activities:		
Payment of long-term debt	(75,566)	(70,241)
Net cash provided (used for) financing activities	(75,566)	(70,241)
Increase (decrease) in cash and cash equivalents	15,716	19,430
Prior period adjustment (Note 6)	-	5,000
Cash and cash equivalents - beginning of year	656,294	631,864
Cash and cash equivalents - end of year	$672,010	$656,294
Supplemental information:		
Interest expense	$290,886	$296,226
Income taxes	$7,234	$7,227

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 2001

	Common Stock	Paid-in-Capital	Retained Earnings (Deficit)
Balance - January 1, 2000	$85,027	$6,902,464	($2,905,323)
Net loss (2000)	-	-	(179,705)
Prior period adjustment			5,000
Balance - December 31, 2000	85,027	6,902,464	(3,080,028)
Net loss (2001)	-	-	(303,401)
Balance - December 31, 2001	$85,027	$6,902,464	($3,383,429)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2001

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Use of estimates: The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on managements's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Note 3: LONG-TERM DEBT:

Mortgage payable GMAC Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, balloon payment of $2,609,746 payable January 1, 2013.	$3,933,102
current portion	81,295
Long-term debt	$3,851,807

Annual maturities for each of the next five years: 2002-$81,295; 2003-$87,458; 2004-$94,089; 2005-$101,222; 2006-$108,896.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), recent IRS rulings, and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 2001 and 2000 is not calculated based on Section 277.

The Corporation has approximately $2.9 million of net operating losses available for 2001.

Note 5: COMMITMENTS:

1. The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,464 per year
Elevator maintenance	$450 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $635 per week for Superintendent and $581 per week for each of two porters per union agreement dated October, 2000.
Towing	$ 75 per month.
Landscaping	2000:$795 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $31,000 per year.

Note 6: PRIOR PERIOD ADJUSTMENT:

During 2000, it became evident that management had incorrectly stated interest income in a prior year. As such a prior period adjustment has been recorded on the prior year (December 31, 2000) financial statements.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 2003 and 2002

DRAFT

J. GITNESON CPA PC

CERTIFIED PUBLIC ACCOUNTANTS

J. GITTLESON, CPA PC
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To: Howard Katz
(F) 212-989-0433
From: Gail Schiowitz, CPA
Date: February 3, 2004

Dear Howard:

Enclosed please find a rough draft of the December 31, 2003 audited financial statements, which you wanted to use for budget planning purposes. To that end, please note the following:

1. Included in "Other Contractual Services" is approximately $4,500 in extra elevator repairs in 2003 and snow removal is approximately $6,000 higher in 2003 than in 2002.

2. Included in "Boiler Maintenance" is approximately $8,300 of emergency drain leak repairs.

3. Included in "Landscaping" is approximately $5,000 for payments made to Susan Cohen for landscape designs.

4. Profession fees includes approximately $8,000 to Finger and Finger for miscellaneous legal inquiries.

5. Accounts payable is based on payables per the December 31, 2003 management reports. Payables not included in the management report that we have included in these financial statements are the following:

Audit fee	$2,200
Con Ed	7,413

6. The Merrill Lynch account was closed with a withdrawal of $15,924 in July, 2003. Craig is researching where these funds were deposited. Such amount is included in cash on these financial statements.

7. We have not completed our audit procedures pertaining to capital improvements. All payments made to Lasorsa have already been reclassified to capital improvements on these financial statements. However, there may be some additional items included on the income statement that will be classified as a capital improvement when we complete our audit procedures.

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INDEPENDENT AUDITOR'S REPORT

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 2003 and 2002 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 2003 and 2002. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2002 and 2001 and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Woodmere, New York

TABLE OF CONTENTS

Audit report..... 1

Financial statements:
- Comparative balance sheets..... 2
- Comparative statements of operations.....3
- Comparative statements of cash flows.....4
- Statement of changes in stockholders' equity.....5

Notes to financial statements.....6-8

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RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 2003 and 2002

	2003	2002
ASSETS		
Cash:		
operating	($7,989)	$6,160
restricted cash	9,046	8,364
money market	521,894	706,675
Accounts receivable	11,270	8,092
Prepaid insurance	9,659	10,580
Mortgage acquisition costs, net	44,109	48,965
Prepaid real estate taxes	26,318	24,399
Total current assets	614,307	813,234
Land	200,000	200,000
Building and building improvements	12,251,106	12,014,901
	12,451,106	12,214,901
Less:accumulated depreciation	5,589,853	5,288,885
Net fixed assets	6,861,253	6,926,016
Total assets	$7,475,560	$7,739,251

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LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$97,902	$112,404
Deposits	9,046	8,364
Loan payable	350,000	350,000
Mortgages payable (Note 3)	3,764,348	3,851,806
Commitments and contingencies (Note 5)	-	-
Total liabilities	4,221,296	4,322,573
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,902,464	6,902,464
Retained earnings (deficit)	(3,733,227)	(3,570,813)
Total stockholders' equity	3,254,264	3,416,678
Total liabilities and stockholders' equity	$7,475,560	$7,739,251

See accompanying auditor's report and notes to financial statements.

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RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 2003 and 2002

	2003	2002
Operating income:		
Maintenance charges	$1,088,367	$1,069,345
Less: STAR Abatement	(82,863)	(85,787)
Common charges, net	1,005,504	983,558
Special assessment	191,313	63,771
Parking income	87,193	86,754
Laundry income	26,278	27,727
	1,310,288	1,161,810
Operating expenses:		
Real estate taxes	299,670	288,391
Less: STAR Abatement	(82,883)	(85,787)
Real estate taxes, net	216,787	202,604
Mortgage interest	305,153	289,478
Heating fuel	101,402	72,694
Utilities (gas, electric, and telephone)	58,998	49,645
Contractual services		
Security	44,764	48,819
Boiler maintenance	18,331	9,381
Landscaping	14,256	6,768
Other	26,172	15,604
Supplies	26,872	31,750
Operating repairs and maintenance	50,956	45,496
Pool supplies	9,401	6,153
Payroll and benefits	173,570	162,718
Management fees	31,000	31,000
General administrative costs	7,745	3,100
Professional fees	40,225	32,421
Insurance	46,519	47,531
Miscellaneous	11,759	12,310
Water and sewer	5,303	7,639
Total operating expenses	1,182,213	1,077,111
Income from operations	128,075	84,699
Other income:		
Exit fees	18,271	16,019
Interest	4,462	6,885
Miscellaneous - late charges and other	4,955	9,256
Total other income	24,678	32,159
Income before depreciation and income taxes	152,753	116,858
Depreciation and amortization	305,824	297,234
Provision for income taxes	9,343	7,008
Net income (loss)	($162,414)	($187,384)

USE THIS 5TH OF YEARS REPORT FOR 2003

See accompanying auditor's report and notes to financial statements

J. GITTLESON CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 2003 and 2002

	2003	2002
Cash flows from operating activities:		
Net income (loss)	($162,414)	($187,384)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	300,968	291,894
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(3,178)	14,277
Change in prepaid expenses	921	(10,580)
Change in prepaid real estate taxes	(1,919)	(311)
Change in mortgage acquisition costs, net	4,856	5,340
Change in accounts payable and accrued expenses	(13,819)	(97,362)
Total adjustments	287,829	203,258
Net cash provided by (used for) operating activities	125,415	15,874
Cash flows from investing activities:		
Payment for capital improvements	(236,205)	(235,389)
Net cash provided by (used for) investing activities	(236,205)	(235,389)
Cash flow from financing activities:		
Receipt of proceeds from loan payable	-	350,000
Payment of long-term debt	(87,458)	(81,296)
Net cash provided (used for) financing activities	(87,458)	268,704
Increase (decrease) in cash and cash equivalents	(198,248)	49,189
Cash and cash equivalents - beginning of year	721,199	672,010
Cash and cash equivalents - end of year	$522,951	$721,199
Supplemental information:		
Interest expense	$305,687	$289,975
Income taxes	$9,479	$10,708

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 2003

	Common Stock	Paid-in-Capital	Retained Earnings (Deficit)
Balance - January 1, 2002	$85,027	$6,902,464	($3,383,429)
Net loss (2002)	-	-	(187,384)
Balance - December 31, 2002	85,027	6,902,464	(3,570,813)
Net loss (2003)	-	-	(162,414)
Balance - December 31, 2003	$85,027	$6,902,464	($3,733,227)

See accompanying auditor's report and notes to financial statements

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RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2003

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Use of estimates: The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on managements's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Note 3: LONG-TERM DEBT:

Mortgage payable GMAC Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, balloon payment of $2,609,746 payable January 1, 2013.	$3,764,348
current portion	94,089
Long-term debt	$3,670,259

Annual maturities for each of the next five years: 2004-$94,089; 2005-$101,222; 2006-$108,896; 2007-$117,152; 2008-$126,034.

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS (continued)
December 31, 2003

Note 3: LONG-TERM DEBT(continued):

Three owners have agreed to lend the cooperative corporation a secured loan for a total amount of $350,000 as of November 1, 2002. The loan is secured by a 2nd mortgage (which will be recorded at the time of any default) and an interest in the assessment account. The loan matures on October 31, 2005. Interest at the rate of 7.5% is payable monthly commencing on December 1, 2002.

A special assessment in the amount of $4.50 per share is being charged in order to raise the funds to repay such loan. The assessment will be charged at the rate of $0.1875 per share per month starting September 1, 2002.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), recent IRS rulings, and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 2003 and 2002 is not calculated based on Section 277.

The Corporation has approximately $3.3 million of net operating losses available for 2003.

Note 5: COMMITMENTS:

1. The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$3,472 per year
Elevator maintenance	$513 per month
Garage Door Opener	$97 per month
Superintendent and Porters	Per union agreement, $635 per week for Superintendent and $581 per week for each of two porters per union agreement dated October, 2000.
Landscaping	2003:$800 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $31,000 per year.

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2003

Note 5: COMMITMENTS (continued):

In November, 2002, the Corporation entered into a contract with Lasorsa, Inc. for concrete repairs for approximately $665,000. As of December 31, 2003, $416,228 has been paid on the contract and is included in "building and building improvements" on the balance sheet

Note 6: CASH & CASH EQUIVALENTS:

At December 31, 2003 cash & cash equivalents consisted of the following:

Bank of New York:		
Operating - Hudson Valley		$ (7,989)
Deposit accounts:	Sunnyside	4,361
	BNY	4,685
Savings:	Hudson Valley - Assessment	422,059
	BNY	22,527
	Hudson Valley Tax Escrow	33,455
Vanguard, Money Market Fund		27,929
Savings		15,924
Total		$ 522,951

Note 7: RELATED PARTY TRANSACTION:

As described in Note 3 above, certain related party shareholders have a secured loan to the Corporation.

J. GITTLESON CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

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Fax

To: Howard

From: Gerd

Fax: 212-989-0433

Pages: _____ including fax cover sheet

Phone:

Date:

Re:

CC:

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• Comments:

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 2004 and 2003

CALL Jizzy
any Questions

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TABLE OF CONTENTS

Audit report..... 1

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Comparative balance sheets.....2
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Comparative statements of cash flows.....4
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INDEPENDENT AUDITOR'S REPORT

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Yonkers, NY

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March 3, 2005
Woodmere, New York

J Gittleson CPA PC

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 2004 and 2003

	2004	2003
ASSETS		
Cash:		
operating	$7,708	($7,989)
restricted	9,027	9,351
money market	353,889	521,894
Accounts receivable	12,905	11,270
Prepaid insurance	4,604	9,659
Mortgage acquisition costs, net	39,280	44,109
Prepaid real estate taxes	28,286	26,318
Total current assets	455,699	614,612
Land	200,000	200,000
Building and building improvements	12,522,681	12,289,611
	12,722,681	12,489,611
Less:accumulated depreciation	5,904,881	5,592,746
Net fixed assets	6,817,800	6,896,865
Total assets	$7,273,499	$7,511,477
LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$130,789	$124,596
Security deposits	9,027	9,351
Loan payable (Note 3)	350,000	350,000
Mortgages payable (Note 3)	3,670,259	3,764,348
Commitments and contingencies (Note 5)	-	-
Total liabilities	4,160,075	4,248,295
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,902,464	6,902,464
Retained earnings (deficit)	(3,874,067)	(3,724,309)
Total stockholders' equity	3,113,424	3,263,182
Total liabilities and stockholders' equity	$7,273,499	$7,511,477

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 2004 and 2003

	2004	2003
Operating income:		
Maintenance charges	$1,161,724	$1,088,387
Less: STAR Abatement	(108,490)	(82,883)
Common charges, net	1,053,234	1,005,504
Special assessment	189,681	191,313
Parking income	84,212	87,193
Laundry income	23,477	26,278
	1,350,604	1,310,288
Operating expenses:		
Real estate taxes	351,533	299,670
Less: STAR Abatement	(108,490)	(82,883)
Real estate taxes, net	243,043	216,787
Mortgage interest	298,482	305,153
Heating fuel	106,897	109,272
Utilities (gas, electric, and telephone)	64,154	58,998
Contractual services		
Security	49,395	46,157
Boiler maintenance	16,256	18,330
Landscaping	14,305	14,256
Other	28,758	26,202
Supplies	29,572	19,247
Operating repairs and maintenance	58,980	53,949
Pool supplies	8,132	9,401
Payroll and benefits	166,694	172,346
Management fees	31,000	31,000
Professional fees	12,651	24,977
Insurance	60,106	46,519
Miscellaneous	12,261	12,504
Water and sewer	14,056	5,303
Total operating expenses	1,214,742	1,170,401
Income from operations	135,862	139,887
Other income:		
Exit fees	30,594	15,271
Interest	2,478	4,451
Miscellaneous - late charges and other	7,103	4,955
Total other income	40,175	24,677
Income before depreciation and income taxes	176,037	164,564
Depreciation and amortization	316,964	308,717
Provision for income taxes	8,831	9,343
Net income (loss)	($149,758)	($153,496)

Common 50 %
Exp – 20 –

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 2004 and 2003

	2004	2003
Cash flows from operating activities:		
Net income (loss)	($149,758)	($153,496)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	312,135	303,861
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(1,635)	(3,178)
Change in prepaid expenses	5,055	921
Change in prepaid real estate taxes	(1,968)	(1,919)
Change in mortgage acquisition costs, net	4,829	4,856
Change in accounts payable and accrued expenses	5,869	13,180
Total adjustments	324,285	317,721
Net cash provided by (used for) operating activities	174,527	164,225
Cash flows from investing activities:		
Payment for capital improvements	(233,070)	(274,710)
Net cash provided by (used for) investing activities	(233,070)	(274,710)
Cash flow from financing activities:		
Payment of long-term debt	(94,089)	(87,458)
Net cash provided (used for) financing activities	(94,089)	(87,458)
Increase (decrease) in cash and cash equivalents	(152,632)	(197,943)
Cash and cash equivalents - beginning of year	523,256	721,199
Cash and cash equivalents - end of year	$370,624	$523,256
Supplemental information:		
Interest expense	$272,806	$305,687
Income taxes	$8,199	$9,479

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 2004

	Common Stock	Paid-in-Capital	Retained Earnings (Deficit)
Balance - January 1, 2003	$85,027	$6,902,464	($3,570,813)
Net loss (2003)	-	-	(153,496)
Balance - December 31, 2003	85,027	6,902,464	(3,724,309)
Net loss (2004)	-	-	(149,758)
Balance - December 31, 2004	$85,027	$6,902,464	($3,874,067)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2004

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

1982
40
2020

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Use of estimates: The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on managements's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Note 3: LONG-TERM DEBT:

Mortgage payable GMAC Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, balloon payment of $2,609,746 payable January 1, 2013.	$3,670,259
Current portion	101,222
Long-term debt	$3,569,037

Annual maturities for each of the next five years: 2005-$101,222; 2006-$108,896; 2007-$117,152; 2008-$126,034; 2009-$135,589.

Note 3: LONG-TERM DEBT(continued):

Certain stockholders have agreed to lend the cooperative corporation a secured loan for a total amount of $350,000 as of November 1, 2002. The loan is secured by a 2nd mortgage (which will be recorded at the time of any default) and an interest in the assessment account. The loan matures and is payable in full on October 31, 2007. Interest at the rate of 7.5% is payable monthly commencing on December 1, 2002.

A special assessment in the amount of $4.50 per share is being charged in order to raise the funds to repay such loan. The assessment will be charged at the rate of $0.1875 per share per month starting September 1, 2002.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), recent IRS rulings, and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 2004 and 2003 is not calculated based on Section 277.

The Corporation has approximately $3.4 million of net operating losses available for 2004.

Note 5: COMMITMENTS:

1. The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,464 per year
Elevator maintenance	$513 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $690 per week for Superintendent and $637 per week for each of two porters per union agreement dated October, 2004.
Management	The managing agent is Hudson River Property Management. The management fee is $31,000 per year.
Audit fee	$5,400 per year

Note 5: COMMITMENTS(continued):

In November, 2002, the Corporation entered into a contract with Lasorsa, Inc. for concrete repairs for approximately $570,000. As of December 31, 2004, approximately $570,000 has been paid on the contract and is included in "building and building improvements" on the balance sheet

Note 6: CASH & CASH EQUIVALENTS:

At December 31, 2004 cash & cash equivalents consisted of the following:

Bank of New York:		
Operating - Hudson Valley		$ 7,708
Deposit accounts (restricted):		
	Sunnyside	4,378
	BNY	4,649
Savings:	Hudson Valley -Capital	35,243
	Hudson Valley - Assessment	271,815
	Hudson Valley Tax Escrow	18,715
Vanguard, Money Market Fund		28,116
Total		$ 370,624

Note 7: RELATED PARTY TRANSACTION:

As described in Note 3 above, certain related party shareholders have a secured loan to the Corporation.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 2006 and 2005

J. GITTLESON, CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

TABLE OF CONTENTS

Audit report..... 1

Financial statements:
Comparative balance sheets.....2
Comparative statements of operations.....3
Comparative statements of cash flows.....4
Statement of changes in stockholders'equity.....5

Notes to financial statements.....6-8

J. GITTLESON, CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

Members of
American Institute of
Certified Public Accountants

154 Franklin Place, Woodmere, New York 11598
Phone 516-295-1525 Fax 516-295-9235

Members of
New York State Society of
Certified Public Accountants

INDEPENDENT AUDITOR'S REPORT

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 2006 and 2005 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 2006 and 2005. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2006 and 2005 and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

CPA PC

March 9, 2007
Woodmere, New York

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 2006 and 2005

	2006	2005
ASSETS		
Cash:		
operating	$43,500	($4,476)
restricted	-	9,612
money market	227,718	308,778
Accounts receivable	2,548	7,184
Prepaid expenses	43,361	16,777
Mortgage acquisition costs, net	29,622	34,451
Prepaid real estate taxes	28,080	29,664
Total current assets	374,829	401,990
Land	150,000	150,000
Building and building improvements	12,804,072	12,771,140
	12,954,072	12,921,140
Less:accumulated depreciation	6,554,842	6,224,917
Net fixed assets	6,399,230	6,696,223
Total assets	$6,774,059	$7,098,213

LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$121,787	$128,048
Security deposits	-	9,612
Loan payable	-	350,000
Mortgages payable	3,460,140	3,569,036
Commitments and contingencies	-	-
Total liabilities	3,581,927	4,056,696
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,902,464	6,902,464
Retained earnings (deficit)	(3,795,359)	(3,945,974)
Total stockholders' equity	3,192,132	3,041,517
Total liabilities and stockholders' equity	$6,774,059	$7,098,213

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 2006 and 2005

	2006	2005
Operating income:		
Maintenance charges	$1,571,429	$1,308,354
Less: STAR Abatement	(135,152)	(123,774)
Common charges, net	1,436,277	1,184,580
Special assessment	127,542	191,313
Parking income	85,139	83,814
Laundry income	28,597	29,926
	1,677,555	1,489,633
Operating expenses:		
Real estate taxes	397,399	372,308
Less: STAR Abatement	(135,152)	(123,774)
Real estate taxes, net	262,247	248,534
Mortgage interest	275,460	291,305
Heating fuel	147,144	157,170
Utilities (gas, electric, and telephone)	64,351	74,830
Contractual services		
Security	47,102	46,115
Boiler maintenance	10,487	8,997
Landscaping	994	12,143
Other	27,939	22,321
Supplies	20,187	35,899
Operating repairs and maintenance	44,004	32,283
Pool supplies	6,435	8,715
Payroll and benefits	185,106	188,198
Management fees	34,000	33,250
Professional fees	8,050	16,887
Insurance	64,626	63,743
Miscellaneous	8,050	10,242
Water and sewer	11,909	9,202
Total operating expenses	1,218,091	1,259,834
Income from operations	459,464	229,799
Other income:		
Exit fees	13,233	18,224
Interest	7,688	5,104
Miscellaneous - late charges and other	14,022	8,617
Total other income	34,943	31,945
Income before depreciation and income taxes	494,407	261,744
Depreciation and amortization	334,754	324,865
Provision for income taxes	9,038	8,786
Net income (loss)	$150,615	($71,907)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 2006 and 2005

	2006	2005
Cash flows from operating activities:		
Net income (loss)	$150,615	($71,907)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	329,925	320,036
Change in assets and liabilities which affect net income:		
Change in accounts receivable	4,636	5,721
Change in prepaid expenses	(26,584)	(12,173)
Change in prepaid real estate taxes	1,584	(1,378)
Change in mortgage acquisition costs, net	4,829	4,829
Change in accounts payable and accrued expenses	(15,873)	(2,156)
Total adjustments	298,517	314,879
Net cash provided by (used for) operating activities	449,132	242,972
Cash flows from investing activities:		
Receipt for land easement	-	50,000
Payment for capital improvements	(32,932)	(248,459)
Net cash provided by (used for) investing activities	(32,932)	(198,459)
Cash flow from financing activities:		
Payment of long-term debt	(458,896)	(101,223)
Net cash provided (used for) financing activities	(458,896)	(101,223)
Increase (decrease) in cash and cash equivalents	(42,696)	(56,710)
Cash and cash equivalents - beginning of year	313,914	370,624
Cash and cash equivalents - end of year	$271,218	$313,914
Supplemental information:		
Interest expense	$276,125	$291,923
Income taxes	$9,136	$9,060

458,896
Loan → < 350,000>
108896

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 2006

	Common Stock	Paid-in-Capital	Retained Earnings (Deficit)
Balance - January 1, 2005	$85,027	$6,902,464	($3,874,067)
Net loss (2005)	-	-	(71,907)
Balance - December 31, 2005	85,027	6,902,464	(3,945,974)
Net income (2006)	-	-	150,615
Balance - December 31, 2006	$85,027	$6,902,464	($3,795,359)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2006

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Use of estimates: The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on managements's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Note 3: LONG-TERM DEBT:

Mortgage payable GMAC Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, balloon payment of $2,609,746 payable January 1, 2013, secured by the building	$3,460,140
Current portion	117,152
Long-term debt	$3,342,988

Annual maturities for each of the next five years: 2007-$117,152; 2008-$126,034; 2009-$135,589; 2010-$145,868; 2011-$156,927.

Note 3: LONG-TERM DEBT(continued):

Certain stockholders agreed to lend the cooperative corporation a secured loan for a total amount of $350,000 as of November 1, 2002. The loan is secured by a 2nd mortgage (which will be recorded at the time of any default) and an interest in the assessment account. The loan matured and was paid in full in 2006.

A special assessment in the amount of $4.50 per share was charged in order to raise the funds to repay such loan. The assessment was charged at the rate of $0.1875 per share per month starting September 1, 2002, for a period of four years. The special assessment ceased in August, 2006.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), recent IRS rulings, and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 2006 and 2005 is not calculated based on Section 277.

The Corporation has approximately $3.892 million of net operating losses available for 2006.

Note 5: COMMITMENTS:

The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,464 per year
Elevator maintenance	$559 per month
Garage Door Opener	$96 per month

Superintendent and Porters:
Per union agreement, $690 per week for Superintendent and $637 per week for each of two porters per union agreement dated October, 2004. A new four year contract dated October, 2006 provides for raises of $11 per week beginning April, 2007 and $13 in each successive year.

Management	The managing agent is Hudson River Property Management. The management fee is $34,000 per year.
Audit fee	$5,500 for 2007

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 2006

Note 6: CASH & CASH EQUIVALENTS:

At December 31, 2006 cash & cash equivalents consisted of the following:

Bank of New York:	
Operating - Hudson Valley	$ 43,500
Savings: Hudson Valley -Capital	11,262
Hudson Valley - Assessment	9
Hudson Valley Tax Escrow	134,223
Vanguard, Money Market Fund	82,224
Total	$271,218

Note 7: CONCENTRATION OF CREDIT RISK:

At December 31, 2006, the Corporation had bank deposits in excess of FDIC of $34,223.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

FOR THE YEARS ENDED

DECEMBER 31, 2008 AND 2007

AND

INDEPENDENT AUDITOR'S REPORT

SHAVELSON, NEUMAN & COMPANY LLP

SHAVELSON, NEUMAN & COMPANY LLP

Certified Public Accountants

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

We have audited the accompanying balance sheet of Riveredge Owners, Inc. as of December 31, 2008, and the related statements of operations and accumulated (deficit), and cash flows for the year then ended. These financial statements are the responsibility of the Corporation's management. Our responsibility is to express an opinion on these financial statements based on our audit. The financial statements of Riveredge Owners, Inc., as of and for the year ended December 31,2007, were audited by other auditors whose report dated March 26, 2008 expressed an unqualified opinion on those statements.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2008, and the results of its operations, and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in Note 2B, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented information about the estimates of future costs and replacements that will be required in the future, that accounting principles generally accepted in the United States of America has determined is required to supplement, although not required to be a part of, the basic financial statements. The Corporation also has not developed a plan to fund future costs of major repairs and replacements.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY LLP
Certified Public Accountants

May 4, 2009

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2008 AND 2007

ASSETS

	2008	2007
CURRENT ASSETS:		
Cash and cash equivalents (Note 2C)	$ 393,313	$ 410,308
Accounts receivable from tenants	7,326	3,797
Prepaid real estate tax	53,864	32,103
Fuel inventory (Note 2G)	5,597	0
Prepaid insurance	8,563	17,119
Total Current Assets	468,663	463,327
INVESTMENTS:		
Reserve funds (Note 3)	306,484	102,992
COMMON PROPERTY: (Notes 2A and 4)		
Land, building, improvements and equipment	13,013,540	12,967,022
Less: accumulated depreciation	(7,209,011)	(6,879,154)
Net Common Property	5,804,529	6,087,868
OTHER ASSETS:		
Deferred mortgage refinancing costs, net (Note 5)	19,337	24,792
Tenant security deposits	5,521	0
	24,858	24,792
TOTAL ASSETS	$ 6,604,534	$ 6,678,979

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2008 AND 2007

LIABILITIES AND SHAREHOLDERS' EQUITY

	2008	2007
CURRENT LIABILITIES:		
Mortgage payable - current portion (Note 5)	$ 135,589	$ 126,034
Accounts payable	87,316	59,540
Deferred shareholder income	42,974	0
Due to shareholders (Note 10)	60,100	68,851
Deposits payable	6,687	0
Total Current Assets	332,666	254,425
LONG TERM LIABILITIES:		
Mortgage note payable - long term (Note 5)	3,081,373	3,216,954
Total Long Term Liabilities	3,081,373	3,216,954
Total Liabilities	3,414,039	3,471,379
COMMITMENTS: (Note 7)		
SHAREHOLDERS' (DEFICIT):		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Contributed capital in excess of par value	6,902,464	6,902,464
Accumulated (deficit)	(3,796,996)	(3,779,891)
Total Shareholders' Equity	3,190,495	3,207,600
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 6,604,534	$ 6,678,979

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED (DEFICIT)

FOR THE YEARS ENDED DECEMBER 31, 2008 AND 2007

	2008	2007
INCOME:		
Maintenance charges (Note 2E)	$ 1,587,982	$ 1,570,096
Other income	148,855	152,049
	1,736,837	1,722,145
EXPENSES:		
Payroll and related benefits	164,760	166,463
Utilities	302,455	259,964
Water and sewer	19,675	12,223
Repairs and maintenance	209,636	155,750
Insurance	52,752	68,873
Legal and accounting fees	4,950	9,261
Management fee (Note 7)	30,000	31,333
Real estate taxes	378,212	407,434
Corporate taxes and miscellaneous	16,089	16,206
Mortgage interest	240,100	250,029
	1,418,629	1,377,536
Income before depreciation and amortization	318,208	344,609
Depreciation	(329,857)	(324,312)
Amortization	(5,456)	(4,829)
Net (loss), income	(17,105)	15,468
Accumulated (deficit), beginning of year	(3,779,891)	(3,795,359)
Accumulated (deficit), end of year	$ (3,796,996)	$ (3,779,891)

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2008 AND 2007

	2007	2008
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net (loss), income	$ (17,105)	$ 15,468
Adjustments to Reconcile Net (Loss) income to Net Cash Provided by Operating Activities:		
Depreciation	329,857	324,312
Amortization	5,456	4,829
Interest earned from reserve accounts	(3,395)	(4,767)
Changes in Assets and Liabilities:		
(Increase) in accounts receivable	(3,529)	(1,249)
(Increase) in tenant security deposits	(5,521)	0
(Increase), decrease in prepaids and fuel inventory	(18,802)	22,219
Increase in accounts payable	27,776	6,604
Increase in deferred income	42,974	0
(Decrease) in due to shareholders	(8,751)	0
Increase in security payable	6,687	0
Net cash provided by operating activities	355,647	367,416
CASH FLOWS FROM INVESTING ACTIVITIES:		
(Increase) in reserve fund investment principal	(200,098)	(16,001)
Expenditures for building improvements	(46,518)	(12,950)
Net cash (used in) investing activities	(246,616)	(28,951)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Payments for mortgage principal	(126,026)	(117,152)
Net cash (used in) financing activities	(126,026)	(117,152)
Net (decrease), increase in cash and cash equivalents	(16,995)	221,313
Cash and cash equivalents, beginning of year	410,308	188,995
Cash and cash equivalents, end of year	$ 393,313	$ 410,308
CASH PAID DURING YEAR FOR:		
Mortgage interest	$ 240,870	$ 249,744
Corporate taxes	$ 6,464	$ 9,277

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEARS ENDED DECEMBER 31, 2008 AND 2007

1. ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (The "Cooperative Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982. The building consists of 158 residential apartments.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

A. Common Property:

Land, building, improvements and equipment are stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets.

B. Future Needs For Major Repairs and Replacements:

The Corporation has accumulated some funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

C. Cash and Cash Equivalents:

For purposes of the Statement of Cash Flows, the Corporation considers all highly liquid debt instruments purchased with maturities of three months or less (not used for the reserve fund) to be cash equivalents.

D. Use of Estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

E. Maintenance Assessments:

Tenant-shareholders are subject to monthly assessments to provide funds for Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

The Board of Directors approved a maintenance increase of approximately 3% effective September 1, 2008 to help cover operating expenses.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

F. Federal Income Tax:

The Internal Revenue Service had taken the position that real estate cooperatives were subject to Section 277 of the Internal Revenue Code. However, on September 3, 1996, in a landmark ruling, the United States Tax Court found that real estate cooperatives were not subject to Section 277, but were subject to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources.

Subchapter T organizations must meet three requirements. Those are: subordination of capital, democratic control and operation at cost. Subordination of capital means that the Corporation must operate for the sole benefits of its "patrons" and not "outsiders". By their nature, co-ops must meet that requirement. Democratic control was held to mean that despite shareholders owning unequal amounts of shares, usually based on the relative sizes of their apartments, the co-op was controlled by its shareholders. Operation at cost is met by a co-op because should a co-op have a profit it is not distributed to its shareholders, instead the profit is used to offset future needs. Regarding interest income, if it is generated from reserve funds or excess funds that are invested in short term instruments, it can be included in patronage source income. This would be demonstrated by the fact that a co-op needs to keep a reserve fund for future major repairs and capital improvements. However, income from non-patronage sources such as commercial rental, professional apartment rental, etc. in excess of expenses properly attributable thereto, may be subject to Federal Tax.

For the year ended December 31, 2008, the Corporation had a financial statement net loss of ($38,579). For tax purposes, this loss was adjusted by amounts discussed in Note 9. In addition, the Corporation had net operating loss carryovers available of $3,876,131 as of December 31, 2008. These NOLs expire between the years 2009 and 2028. The Corporation is also subject to New York State Franchise Tax under the capital method at a tax rate of .04%.

A deferred tax asset has not been provided for in the accompanying financial statement due to the uncertainty of the Corporation's ability to generate sufficient taxable income in order to realize the benefit of the net operating loss carryovers prior to the expiration dates.

G. Fuel Inventory:

The Corporation values fuel inventory at cost. The Corporation uses the First-in, First-out (FIFO) method for valuing inventory.

3. RESERVE FUNDS:

The Corporation invests its capital reserve funds in highly rated (low risk) financial instruments and are to be used for capital improvements. These investments consisted of the following as of December 31, 2008 and 2007:

DESCRIPTION	2008	2007
Vanguard Federal		
Money Market Fund interest rate of 1.9% and 4.56% at December 31, 2008 and 2007, respectively	$ 105,593	$ 102,992
Astoria Federal Savings Bank		
Business checking	100	0
Astoria Federal Saving Bank		
Certificate of deposit - maturity date 5/24/09 interest rate of 3.9%	200,791	0
TOTAL RESERVE FUNDS	$ 306,484	$ 102,992

4. COMMON PROPERTY:

Land, building, improvements and equipment at December 31, 2008 and 2007 are summarized as follows:

	2008	2007
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	2,731,239	2,706,414
Machinery, equipment, fixtures and truck	197,704	176,011
	13,013,540	12,967,022
Less: Accumulated depreciation	(7,209,011)	(6,879,154)
	$ 5,804,529	$ 6,087,868

During the year ended December 31, 2008, the Corporation paid $24,825 to Con Edison for an electrical upgrade. Other capital improvement projects included a new security system costing $12,250 and a new intercom system. A deposit of $9,334 was paid toward the purchase of this intercom system, with the remaining balance of $9,334 paid in full in March 2009.

Depreciation expense for the years ended December 31, 2008 and 2007 was $329,857 and $324,312, respectively.

5. MORTGAGE PAYABLE:

On May 8, 1997, the Corporation refinanced its mortgage that is currently held by Capmark Finance, Inc. The mortgage is in the amount of $4,200,000 and is at a fixed interest rate of 7.33% and set to mature on January 1, 2013. The mortgage calls for monthly payments of $39,575 applied first to interest and then to payment of principal. Closing costs associated with this mortgage totaled $81,843 and are being amortized over the 15 year life of the mortgage. The mortgage is collateralized by the land and building owned by the Corporation.

The mortgage payable will amortize over the next five years until maturity as follows:

December 31 Year Ending,	Amount
2009	$ 135,589
2010	145,868
2011	156,927
2012	168,824
2013	2,609,754
	$ 3,216,962

6. RECLASSIFICATIONS:

Certain reclassifications have been reflected in some of the balances for the year ended December 31, 2007, in order to conform to the presentation of the financial statements for the year ended December 31, 2008.

7. COMMITMENTS:

Management Agreement:

The Corporation has entered into an agreement with Platzner Management for the management of the building. The management fee for 2008 totaled $30,000. The agreement provides for the management agent to be in charge of: (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

8. EMPLOYEES' PENSION PLAN:

All of the Corporation's employees are covered by a collective bargaining agreement with Local 32B-32J SEIU which expires April 20, 2010. In addition, the Corporation's employees are covered by a multi-employer pension plan. The Corporation's contributions to the plan for 2008 and 2007 were $5,800 and $6,200, respectively. Information as to the Corporation's portion of accumulated plan benefits and plan assets is not available. Under the Employee Retirement Income Security Act of 1974, as amended, an employer, upon withdrawal from a multi-employer plan is required to continue to pay its proportionate share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

9. CONTRIBUTIONS TO CAPITAL:

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to capital for tax purposes only.

For the years ended December 31, 2008 and 2007 additions to paid-in capital for tax purposes are:

	2008	2007
Mortgage amortization	$ 126,026	$ 117,152

10. DUE TO SHAREHOLDERS:

In 1998, the New State School Tax Relief Program (STAR) was authorized by Section 425 of the Real Property Tax Law. The shareholders are responsible for applying for the reduction and is given on the Coop level. The Coop then passes this reduction to the individual shareholders. The Corporation has elected to credit the shareholders on a monthly basis, in 12 monthly installments beginning January 2008 and running through December 2008.

During 2008, the Corporation received STAR credits from the City of Yonkers in the amount of $133, 448 representing the second half of the tax billing for 07/01/07-06/30/08 and the first half of the 07/01/08-06/30/09 tax billing. As of December 31, 2008, approximately $60,100 has not yet been applied to the shareholder's accounts.

During 2007, the Corporation received STAR credits from the City of Yonkers in the amount of $135,474 which represents the second half of the tax billing or 07/01/06-06/30/07 and the first half of the 07/01/07-06/30/08 tax billing. As of December 31, 2007, approximately $68,851 has not yet been applied to the shareholders' accounts.

SHAVELSON, NEUMAN & COMPANY LLP
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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY INFORMATION

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

Our report on our audit of the basic financial statements of Riveredge Owners Inc. for the year ended December 31, 2008, appears on Page 1. The audit was conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The accompanying schedules are presented for the purpose of additional analysis and is not a required part of the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole. The financial statements of Riveredge Owners, Inc., as of and for the year ended December 31,2007, were audited by other auditors whose report dated March 26, 2008 expressed an unqualified opinion on those statements.

Shavelson, Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY LLP
Certified Public Accountants

May 4, 2009

Member: AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS • NEW YORK STATE SOCIETY OF CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2008 AND 2007

	2008	2007
Interest and dividends	$ 12,746	$ 10,178
Parking income	87,407	87,939
Miscellaneous	5,529	5,131
Flip taxes	7,818	9,309
Laundry income	35,355	39,492
	$ 148,855	$ 152,049

See independent auditor's report
on supplementary information

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2008 AND 2007

	2008	2007
PAYROLL AND RELATED FEES:		
Salaries	$ 120,699	$ 124,504
Payroll taxes	10,398	10,389
Employee benefits	33,663	31,570
	$ 164,760	$ 166,463
UTILITIES:		
Electricity and gas	$ 68,239	$ 70,463
Fuel oil	234,216	189,501
	$ 302,455	$ 259,964
REPAIRS AND MAINTENANCE:		
Exterminator	$ 2,949	$ 806
Elevator	9,827	1,221
Miscellaneous repairs	30,326	36,459
Janitorial supplies	26,918	17,303
Plumbing, heating and boiler	17,528	3,608
Pool expense including supplies	28,529	19,425
Landscaping and other contractual expenses	30,437	29,930
Security	53,504	46,998
Intercom	3,820	0
Laundry room	5,798	0
	$ 209,636	$ 155,750

See independent auditor's report on supplementary information.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

FOR THE YEARS ENDED

DECEMBER 31, 2009 AND 2008

AND

INDEPENDENT AUDITOR'S REPORT

SHAVELSON, NEUMAN & COMPANY LLP

SHAVELSON, NEUMAN & COMPANY, LLP

Certified Public Accountants

Steven Neuman, CPA
Jeffrey Shavelson, CPA
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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 2009 and 2008, and the related statements of operations and accumulated (deficit), and cash flows for the years then ended. These financial statements are the responsibility of the Corporation's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2009 and 2008, and the results of its operations, and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in Note 2B, the Corporation has not estimated the remaining lives and replacement costs of the common property and, therefore, has not presented information about the estimates of future costs and replacements that will be required in the future, that accounting principles generally accepted in the United States of America has determined is required to supplement, although not required to be a part of, the basic financial statements. The Corporation also has not developed a plan to fund future costs of major repairs and replacements.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY LLP
Certified Public Accountants

April 28, 2010

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2009 AND 2008

ASSETS

	2009	2008
CURRENT ASSETS:		
Cash and cash equivalents (Note 2C)	$ 608,614	$ 393,313
Accounts receivable from tenants	3,942	7,326
Prepaid real estate tax	53,369	53,864
Fuel inventory (Note 2G)	4,800	5,597
Prepaid insurance	21,855	8,563
Total Current Assets	692,580	468,663
INVESTMENTS:		
Reserve funds (Note 3)	470,398	306,484
COMMON PROPERTY: (Notes 2A and 4)		
Land, building, improvements and equipment	13,159,098	13,013,540
Less: accumulated depreciation	(7,540,446)	(7,209,011)
Net Common Property	5,618,652	5,804,529
OTHER ASSETS:		
Deferred mortgage refinancing costs, net (Note 5)	13,881	19,337
Tenant security deposits	0	5,521
	13,881	24,858
TOTAL ASSETS	$ 6,795,511	$ 6,604,534

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2009 AND 2008

LIABILITIES AND SHAREHOLDERS' EQUITY

	2009	2008
CURRENT LIABILITIES:		
Mortgage payable - current portion (Note 5)	$ 145,868	$ 135,589
Accounts payable	82,185	87,323
Prepaid maintenance	5,798	42,974
Due to shareholders (Note 10)	53,975	60,100
Deposits payable	50	6,687
Total Current Liabilities	287,876	332,673
LONG TERM LIABILITIES:		
Mortgage note payable - long term (Note 5)	2,935,498	3,081,373
Total Long Term Liabilities	2,935,498	3,081,373
Total Liabilities	3,223,374	3,414,046
COMMITMENTS: (Note 7)		
SHAREHOLDERS' (DEFICIT):		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital in excess of par value	6,902,464	6,902,464
Accumulated (deficit)	(3,415,354)	(3,797,003)
Total Shareholders' Equity	3,572,137	3,190,488
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 6,795,511	$ 6,604,534

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED (DEFICIT)

FOR THE YEARS ENDED DECEMBER 31, 2009 AND 2008

	2009	2008
INCOME:		
Maintenance charges (Note 2E)	$ 1,620,174	$ 1,587,982
Other income	166,085	148,855
	1,786,259	1,736,837
EXPENSES:		
Payroll and related benefits	155,977	164,760
Utilities and fuel oil	191,123	302,455
Water and sewer	15,650	19,675
Repairs and maintenance	228,568	209,636
Insurance	49,013	52,752
Legal and audit fees (Note 11)	104,876	4,950
Management fee (Note 7)	30,000	30,000
Real estate taxes	301,570	378,212
Corporate taxes and miscellaneous	16,602	16,089
Mortgage interest	230,771	240,100
	1,324,150	1,418,629
Income before depreciation and amortization and real estate tax refund	462,109	318,208
Depreciation	(331,435)	(329,857)
Amortization	(5,456)	(5,456)
Real estate tax refund (Note 11)	256,431	0
Net income (loss)	381,649	(17,105)
Accumulated (deficit), beginning of year	(3,797,003)	(3,779,898)
Accumulated (deficit), end of year	$ (3,415,354)	$ (3,797,003)

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2009 AND 2008

	2009	2008
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income (loss)	$ 381,649	$ (17,105)
Adjustments to Reconcile Net Income (Loss) to Net Cash Provided by Operating Activities:		
Depreciation	331,435	329,857
Amortization	5,456	5,456
Interest earned from reserve accounts	(6,850)	(3,395)
Changes in Assets and Liabilities:		
Decrease, (increase) in accounts receivable	3,384	(3,529)
Decrease, (increase) in tenant security deposits	5,521	(5,521)
(Increase) in prepaid expenses	(12,000)	(18,802)
(Decrease), increase in accounts payable	(5,138)	27,776
(Decrease), increase in deferred income	(37,176)	42,974
(Decrease) in due to shareholders	(6,125)	(8,751)
(Decrease), increase in deposits payable	(6,637)	6,687
Net cash provided by operating activities	653,519	355,647
CASH FLOWS FROM INVESTING ACTIVITIES:		
(Increase) in reserve fund investment principal	(157,064)	(200,098)
Expenditures for common property additions	(145,558)	(46,518)
Net cash (used in) investing activities	(302,622)	(246,616)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Payments for mortgage principal	(135,596)	(126,026)
Net cash (used in) financing activities	(135,596)	(126,026)
Net increase, (decrease) in cash and cash equivalents	215,301	(16,995)
Cash and cash equivalents, beginning of year	393,313	410,308
Cash and cash equivalents, end of year	$ 608,614	$ 393,313
CASH PAID DURING YEAR FOR:		
Mortgage interest	$ 231,599	$ 240,870
Corporate taxes	$ 4,875	$ 6,464

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RIVEREDGE OWNERS, INC.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEARS ENDED DECEMBER 31, 2009 AND 2008

1. ORGANIZATION:

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982. The building consists of 158 residential apartments.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

A. Common Property:

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets.

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The Corporation has accumulated some funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

C. Cash and Cash Equivalents:

For purposes of the Statement of Cash Flows, the Corporation considers all highly liquid debt instruments purchased with maturities of three months or less (not used for the reserve fund) to be cash equivalents.

D. Use of Estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

E. Maintenance Assessments:

Tenant-shareholders are subject to monthly assessments to provide funds for Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

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Subchapter T organizations must meet three requirements. Those are: subordination of capital, democratic control and operation at cost. Subordination of capital means that the Corporation must operate for the sole benefits of its "patrons" and not "outsiders". By their nature, co-ops must meet that requirement. Democratic control was held to mean that despite shareholders owning unequal amounts of shares, usually based on the relative sizes of their apartments, the co-op was controlled by its shareholders. Operation at cost is met by a co-op because should a co-op have a profit it is not distributed to its shareholders, instead the profit is used to offset future needs. Regarding interest income, if it is generated from reserve funds or excess funds that are invested in short term instruments, it can be included in patronage source income. This would be demonstrated by the fact that a co-op needs to keep a reserve fund for future major repairs and capital improvements. However, income from non-patronage sources such as commercial rental, professional apartment rental, etc. in excess of expenses properly attributable thereto, may be subject to Federal Tax.

For the year ended December 31, 2009, the Corporation had a financial statement net income of $381,649. For tax purposes, this loss was adjusted by amounts discussed in Note 9. In addition, the Corporation had net operating loss carryovers available of $3,030,400 as of December 31, 2009. These NOLs expire between the years 2010 and 2028. The Corporation is also subject to New York State Franchise Tax under the capital method at a tax rate of .04%.

A deferred tax asset has not been provided for in the accompanying financial statements due to the uncertainty of the Corporation's ability to generate sufficient taxable income in order to realize the benefit of the net operating loss carryovers prior to the expiration dates.

G. Fuel Inventory:

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

3. RESERVE FUNDS:

The Corporation invests its capital reserve funds in highly rated (low risk) financial instruments that are to be used for capital improvements. These investments consisted of the following as of December 31, 2009 and 2008:

DESCRIPTION	2009	2008
Vanguard Federal		
Money Market Fund interest rate of 0.05% and 1.9%, respectively	$ 213,793	$ 105,593
Astoria Federal Savings Bank		
Business checking	100	100
Astoria Federal Saving Bank		
Certificate of deposit - maturity date 5/24/10 interest rate of 2.35% and 3.9%, respectively	206,505	200,791
Signature Bank		
12 month CD due 12/23/10 interest rate is 1.75%	50,000	0
TOTAL RESERVE FUNDS	$ 470,398	$ 306,484

4. COMMON PROPERTY:

Land, building, improvements and equipment at December 31, 2009 and 2008 are summarized as follows:

	2009	2008
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	2,823,464	2,731,239
Equipment	251,037	197,704
	13,159,098	13,013,540
Less: Accumulated depreciation	(7,540,446)	(7,209,011)
	$ 5,618,652	$ 5,804,529

During the year ended December 31, 2009, the Corporation spent $53,333 for security and key entry systems, and what remained to be paid on the new intercom system. In addition, the parking lot was paved during August 2009 at a total cost of $92,225. Total additions to common property was $145,558 for year ended December 31, 2009.

During the year ended December 31, 2008, the Corporation paid $24,825 to Con Edison for an electrical upgrade. Other capital improvement projects included a new security system costing $12,250 and a new intercom system. A deposit of $9,334 was paid toward the purchase of this intercom system, with the remaining balance of $9,443 paid in full in March 2009.

5. MORTGAGE PAYABLE:

On May 8, 1997, the Corporation refinanced its mortgage with Capmark Finance, Inc. The mortgage is in the amount of $4,200,000 and is at a fixed interest rate of 7.33% and set to mature on January 1, 2013. The mortgage calls for monthly payments of $30,575 applied first to interest and then to payment of principal. Closing costs associated with this mortgage totaled $81,843 and are being amortized over the 15 year life of the mortgage. The mortgage is collateralized by the land and building owned by the Corporation.

The mortgage payable will amortize over the next four years until maturity as follows:

December 31 Year Ending,	Amount
2010	$ 145,868
2011	156,927
2012	168,824
2013	2,609,747
	$ 3,081,366

6. RECLASSIFICATIONS:

Certain reclassifications have been reflected in some of the balances for the year ended December 31, 2008, in order for them to conform to the presentation of the financial statements for the year ended December 31, 2009.

7. COMMITMENTS:

Management Agreement:

The Corporation has entered into an agreement with Platzner Management for the management of the building. The management fee for 2009 and 2008 totaled $30,000 for both years. The agreement provides for the management agent to be in charge of: (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

8. EMPLOYEES' PENSION PLAN:

Several of the Corporation's employees are covered by a collective bargaining agreement with Local 32B-32J SEIU which expires April 20, 2010. In addition, the Corporation's employees are covered by a multi-employer profit sharing plan. The Corporation's contributions to the plan for 2009 and 2008 were approximately $6,200 and $5,800, respectively. Information as to the Corporation's portion of accumulated plan benefits and plan assets is not available. Under the Employee Retirement Income Security Act of 1974, as amended, an employer, upon withdrawal from a multi-employer plan is required to continue to pay its proportionate share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

9. CONTRIBUTIONS TO ADDITIONAL PAID-INCAPITAL:

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2009 and 2008 additions to additional paid-in capital for income tax reporting purposes are:

	2009	2008
Mortgage amortization	$ 135,596	$ 126,026

10. DUE TO SHAREHOLDERS:

In 1998, the New State School Tax Relief Program (STAR) was authorized by Section 425 of the Real Property Tax Law. The shareholders are responsible for applying for the reduction and it is credited to the Corporation's real estate tax bill.. The Coop then passes this reduction to the individual shareholders. The Corporation has elected to credit the shareholders on a monthly basis, in 12 monthly installments beginning January 2008 and running through December 2009.

During 2009, the Corporation received STAR credits from the City of Yonkers in the amount of $126,382 representing the second half of the tax billing for 07/01/08-06/30/09 and the first half of the 07/01/09-06/30/10 tax billing period. As of December 31, 2009, $53,975 has not yet been applied to the shareholders' accounts.

During 2008, the Corporation received STAR credits from the City of Yonkers in the amount of $133, 448 representing the second half of the tax billing period for 07/01/07-06/30/08 and the first half of the 07/01/08-06/30/09 tax billing period. As of December 31, 2008, $60,100 has not yet been applied to the shareholder's accounts. These credits were applied in 2009.

11. REAL ESTATE TAX REFUND:

In August 2009, the Corporation was successful in its real estate tax assessment proceedings. A refund representing the years 1998-2004, 2005, 2006 and 2007 was awarded to the Corporation. The gross amount of the real estate tax refund was $256,431. After certiorari legal fees that totaled $85,442 and other legal expenses, a net check of $158,699 was received by the Corporation and deposited into a CD account with Astoria Federal Savings Bank. When the CD matured in December 2009, the funds were used to purchase another CD with Signature Bank. See Note 3.

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY INFORMATION

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

Our report on our audits of the basic financial statements of Riveredge Owners Inc. for the years ended December 31, 2009 and 2008, appears on Page 1. The audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The accompanying schedules are presented for the purpose of additional analysis and are not a required part of the basic financial statements. Such information has been subjected to the auditing procedures applied in the audits of the basic financial statements and, in our opinion, is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY LLP
Certified Public Accountants

April 28, 2010

Member: AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS • NEW YORK STATE SOCIETY OF CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2009 AND 2008

	2009	2008
Interest and dividends	$ 8,410	$ 12,746
Parking income	88,235	87,407
Miscellaneous	8,659	5,529
Flip taxes	7,233	7,818
Verizon Fios wiring payment	19,750	0
Laundry income	33,798	35,355
	$ 166,085	$ 148,855

See independent auditor's report
on supplementary information

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2009 AND 2008

	2009	2008
PAYROLL AND RELATED FEES:		
Salaries	$ 120,914	$ 120,699
Payroll taxes	10,332	10,398
Employee benefits	24,731	33,663
	$ 155,977	$ 164,760
UTILITIES:		
Electricity and gas	$ 58,662	$ 68,239
Fuel oil	132,461	234,216
	$ 191,123	$ 302,455
REPAIRS AND MAINTENANCE:		
Exterminator	$ 2,883	$ 2,949
Elevator	9,871	9,827
Miscellaneous repairs and general contracting	55,354	28,163
Janitorial supplies	29,638	26,918
Plumbing, heating and boiler	18,984	17,528
Pool expense including supplies	33,726	28,529
Landscaping and other contractual expenses	17,151	30,437
Security	49,606	53,504
Cleaning	1,714	2,163
Intercom	3,019	3,820
Laundry room	4,609	5,798
Electric repairs	2,013	0
	$ 228,568	$ 209,636
MISCELLANEOUS ADMINISTRATION AND CORPORATE TAXES:		
Stationery, printing and postage	$ 6,114	$ 5,378
Telephone	4,248	3,347
Corporate taxes	4,876	6,464
Licenses and fees	1,364	900
	$ 16,602	$ 16,089

See independent auditor's report on supplementary information.